

informed are you about investment principles, and have you effectively put your knowledge into practice? Have you shifted your mind-set from wealth accumulation to retirement income distribution and how the goals shift from maximizing wealth to ensuring consistent spending in the face of reduced risk capacity?

2. Investment behaviors: How aware and prone are you to various human biases that can negatively affect your investment behaviors? We consider both knowledge and vulnerability. While we may be aware of the proper investment philosophy to have, implementing it in light of our own biases and human tendencies is another matter. You want to acknowledge, to the best of your ability, how your behavioral biases may or may not affect your investment decision-making for retirement income. We discuss some of these potential behavioral biases in chapter 9. Does your portfolio have the right level of risk to help you better manage your biases?

3. Asset allocation views: What are your views on constructing a properly diversified portfolio and your ability to put these views into practice? Although your investment philosophy may cover a wide range of thoughts, you need to know how to put it all together to construct an actual portfolio specifically for retirement income. You want to make sure you are positioned to effectively capture the market rates of return you need through proper exposure of the various sources of investment risk. It is important to have a clear strategy and not just a collection of funds assembled in an ad hoc and piecemeal fashion. Also, are you placing your investment holdings inside the proper account structures to maximize tax efficiency? Do you have any concentrated positions that need to be diversified?

4. Practical application of investment management: How well can you manage your portfolio on an ongoing basis? This specifically involves the ability to maintain the original intention of the portfolio over time and to periodically adjust the portfolio according to changes in your life. This includes rebalancing, active tax management for asset location and distribution management, assessing style drift, and other factors that slowly creep up and cause unnecessary friction in your portfolio if they are not frequently monitored and adjusted.